

## Chapter 9: Bank Reconciliation

### Practice Questions

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1. Which of the following reasons require an entry in the bank account in your general ledger?  
(I) Bank charges amounting to Rs. 1,250 were debited by the bank but not yet recorded in cash book.

(II) A cheque issued to a supplier has not yet been presented for payment.

a) Both are correct

b) None is correct

**c) Only 1**

d) Only 2

2. Which of the following reasons require an entry in the bank account in your general ledger?

(I) Interest on bank overdraft charged by bank.

(II) A cheque deposited by customer but not yet cleared.

a) Both are correct

b) None is correct

**c) Only 1**

d) Only 2

3. Which of the following reasons require an entry in the bank account in your general ledger?

(I) Standing order paid by bank for insurance premium.

(II) Direct deposit by a customer into bank account.

**a) Both are correct**

b) None is correct

c) Only 1

d) Only 2

4. Which of the following reasons require an entry in the bank account in your general ledger?

(I) A cheque previously deposited is dishonoured by bank.

(II) Bank statement shows a wrong debit made by bank.

a) Both are correct

b) None is correct

**c) Only 1**

d) Only 2

5. Which of the following reasons require an entry in the bank account in your general ledger?

(I) Bank mistakenly credits Rs. 15,000 in your account.

(II) Cheque issued but not yet encashed by supplier.

a) Both are correct

**b) None is correct**

- c) Only 1
- d) Only 2

**6.** Which of the following reasons require an entry in the bank account in your general ledger?

(I) Cheque issued and recorded twice in cash book.

(II) Standing order payment made by bank.

**a) Both are correct**

b) None is correct

c) Only 1

d) Only 2

**7.** If it is found that the receipt side of cash book has been under-casted, then while preparing Bank Reconciliation Statement, it should be:

a) Deducted from cash book balance

b) Added in bank statement balance

**c) Added in cash book balance**

d) Deducted from bank statement balance

**8.** A cheque issued of Rs. 1,678 but recorded in cash book as Rs. 1,890, the correction will be recorded as:

**a) Debit cash book Rs. 212**

b) Add in bank statement balance Rs. 212

c) Credit cash book Rs. 212

d) Deduct from bank statement balance Rs. 212

**9.** How would dishonour of customer's cheque be recorded in cash book?

Select the most appropriate answer:

a) Recorded on receipt as well as payment side of cash book

b) Not recorded in cash book

**c) Recorded on payment side only**

d) Recorded on receipt side only

**10.** Which of the following reasons require an entry in the bank account in your general ledger?

(I) A cheque from one of your customers amounting to Rs. 24,000 was returned by the bank as unpaid because the customer has gone bankrupt.

(II) A cheque amounting to Rs. 18,000 in the name of your brother was erroneously credited by bank in your account.

a) Both are correct

b) None is correct

**c) Only 1**

d) Only 2

**11.** For reconciling bank balances, unpresented cheques should be:

- a) **Deducted from balance of bank statement or added to balance of cash book**
- b) Added to balance of bank statement or deducted from balance of cash book
- c) Deducted from balance of bank statement and added to balance of cash book
- d) Added to balance of bank statement and deducted from balance of cash book

**12.** Which of the following statement is correct?

- a) Credit balance as per bank statement means a bank overdraft
- b) **Debit balance as per bank statement means a bank overdraft**
- c) Debit balance as per cash book means bank overdraft
- d) Credit balance as per cash book means an asset

**13.** On 30 June 2021, cash book of Abbas Enterprises reflected a credit balance of Rs. 167,000 and bank statement showed a credit balance of Rs. 125,000. Which two of the following situations can reconcile the balance?

- a) **Unpresented cheques of Rs. 304,000 and bank charges of Rs. 12,000**
- b) Unpresented cheques of Rs. 280,000 and bank charges of Rs. 12,000
- c) Bank charges of Rs. 42,000 and uncleared cheques of Rs. 304,000
- d) Unpresented cheques of Rs. 432,000 and uncleared cheques of Rs. 140,000

**14.** Which of the following statements is correct?

- a) **Debit balance as per bank statement means a bank overdraft**
- b) Debit balance as per cash book means a bank overdraft
- c) Credit balance as per bank statement means a bank overdraft
- d) Credit balance as per cash book means an asset

**15.** For reconciling bank balances, unpresented cheques should be:

- a) Added to balance of bank statement and deducted from balance of cash book
- b) **Deducted from balance of bank statement or added to balance of cash book**
- c) Deducted from balance of bank statement and added to balance of cash book
- d) Added to balance of bank statement or deducted from balance of cash book

**16.** How do we handle “deposit in transit” in bank reconciliation?

- a) **Added to bank statement balance**
- b) Subtracted from bank statement balance
- c) **Subtracted from the cash book balance**
- d) Added to cash book balance

**17.** Unpresented cheques are also referred to as:

- a) Bounced cheques
- b) **Outstanding cheques**
- c) Uncredited cheques
- d) Uncollected cheques

**18.** In cash book, bank charges of Rs. 50,000 were not recorded. What will be the correct cash book adjustment?

- a) **It will be credited in cash book**
- b) It will be debited in cash book
- c) No adjustment needed in the cash book
- d) Charges will be added to the cash book balance

**19.** The following information pertains to XYZ Limited:

| Description                            | Rupees |
|----------------------------------------|--------|
| Balance as per cash book (credit)      | 26,000 |
| Balance as per bank statement (credit) | 6,500  |
| Unpresented cheques                    | 45,500 |

The only reconciling item left is cheques banked and not yet credited in bank statement.

What is the total of such cheques?

- a) **Rs. 13,000**
- b) Rs. 78,000
- c) Rs. 65,000
- d) Rs. 26,000

**20.** A cheque is issued to withdraw cash for office use. It will be presented in cash book at:

- a) Payment side only
- b) Receipt side only
- c) **Payment and receipt both sides**
- d) None of these

**21.** Cheques issued but not presented cause the bank statement balance to be:

- a) **More than cash book balance**
- b) Less than cash book balance
- c) Equal to cash book balance
- d) Can be more or less than cash book balance depending upon circumstances

**22.** Balance as per bank statement of Asim was Rs. 11,600 credit as on April 30, 2018, which was not in agreement with the balance as per cash book.

On investigation the following items were detected:

- Cheques issued and paid by the bank for Rs. 5,500 but recorded in the cash book as Rs. 500
- Bank service charges not entered in the cash book Rs. 420
- Outstanding lodgements Rs. 1,300
- Bank has erroneously debited a cheque of Rs. 900 to Asim actually the cheque was issued by Asif.

- Unpresented cheques Rs. 1,200

What should be the balance as per cash book before adjustments?

- |                             |                       |
|-----------------------------|-----------------------|
| <b>(a) Rs. 18,020 Debit</b> | (b) Rs. 18,020 Credit |
| (c) Rs. 12,600 Debit        | (d) Rs. 12,600 Credit |

**23.** When preparing a bank reconciliation statement, the following information is available:

- ♣ Balance as per cash book Rs. 25,000 (Dr)
- ♣ Outstanding cheques Rs. 1,500
- ♣ Uncleared lodgements 1,300
- ♣ Standing order shown on the bank statement (not appearing in a cash book) Rs. 200
- ♣ Dividend directly deposited in the bank (not appearing in the cash book) Rs. 25

What is the balance as per bank statement?

- |                              |                          |
|------------------------------|--------------------------|
| <b>(a) Rs. 25,025 Normal</b> | (b) Rs. 25,025 Overdraft |
| (c) Rs. 24,825 Normal        | (d) Rs. 24,825 Overdraft |

**24.** Bank statement balance of Raja Brothers as at May 31, 2022 was 23,808 overdrawn. While reconciling the balances of cash book with bank statement, following matters were highlighted:

1. Cheques of Rs. 17,253 not yet presented for payment.
2. Online transfer (direct credit) of Rs. 33,152 was shown on bank statement only.
3. Payment of Rs. 2,200 was recorded as receipt in cash book.
4. Bank charges of Rs. 700 were recorded twice in cash book.
5. Deposit of Rs. 11,526 were not credited in bank statement.

Calculate the amount of adjusted cash book as at May 31, 2022?

- |                    |                           |
|--------------------|---------------------------|
| (a) Rs. 58,987 Dr. | (b) Rs. 58,987 Cr.        |
| (c) Rs. 29,535 Dr. | <b>(d) Rs. 29,535 Cr.</b> |

**25.** Balance of cash book of Rizwan Traders as at 30 November 2022 was Rs. 118,200, which was not reconciled with balance of bank statement.

The following differences were identified:

1. Cheque of Rs. 14,300 was issued to supplier, but recorded as Rs. 13,400 in cash book.
2. A page total of payment side of the bank book amounting to Rs. 9,000 was carried forward to the next page as Rs. 8,000.
3. A cheque of Rs. 4,000 issued to a supplier bearing an incorrect payee's name. The cheque was returned and recorded on 5 January 2023.
4. Bank charges of Rs. 1,250 were erroneously charged to our account.

The corrected cash book balance as at 30 November 2022 shall be:

(a) Rs. 122,100

(b) Rs. 122,300

(c) Rs. 121,550

**(d) Rs. 120,300**